

Business Responsibility Report

SECTION A: GENERAL INFORMATION ABOUT THE COMPANY

1. Corporate Identity Number (CIN) of the company: **L65993TN1978PLC007576**
2. Name of the company: **Cholamandalam Investment and Finance Company Limited**
3. Registered office address: **"Dare House", No.2, N.S.C. Bose Road, Parrys, Chennai - 600001**
4. Website: **www.cholamandalam.com**
5. E-mail id: **investors@chola.murugappa.com**
6. Financial Year reported: **01.04.2021 - 31.03.2022**
7. Sector(s) that the company is engaged in (industrial activity code-wise):

NIC Code	Group	Description
K	649	Financial Services - Lending

8. List three key services that the company provides (as in balance sheet):
Key services rendered by the company are
 1. **Vehicle Finance**
 2. **Loan against Property, Home Loans**
 3. **SME Loans**
9. Total number of locations where business activity is undertaken by the company:
 - (a) Number of international locations (Provide details of major 5): **Nil**
 - (b) Number of national locations: **1,145 branches**
10. Markets served by the company - local / state / national / international: **National**

SECTION B: FINANCIAL DETAILS OF THE COMPANY

1. Paid Up capital: ₹ **164.21 crores**
2. Total turnover: ₹ **10,048.29 crores**
3. Total profit after taxes: ₹ **2,146.71 crores**
4. Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%): **Refer CSR report**
5. List of activities in which expenditure in 4 above has been incurred: **Refer CSR report**

SECTION C: OTHER DETAILS

1. Does the company have any subsidiary company/companies?
Yes, the company has three subsidiaries as on 31.03.2022 namely:
 1. **Cholamandalam Securities Limited**
 2. **Cholamandalam Home Finance Limited and**
 3. **Payswiff Technologies Private Limited**
2. Do the subsidiary company/companies participate in the Business Responsibility (BR) initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s):
BR initiatives of the parent company are generally followed by the subsidiary companies to the extent possible.
3. Do any other entity/entities (e.g. suppliers, distributors etc.) that the company does business with, participate in the BR initiatives of the company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]:
Not applicable.

SECTION D: BR INFORMATION

1. Details of director/directors responsible for BR:
 - (a) Details of the director/director responsible for implementation of the BR policy/policies:
 1. Director Identification Number (DIN): **07337155**
 2. Name: **Mr. Ravindra Kumar Kundu**
 3. Designation: **Executive Director**

(b) Details of the BR head:

SN.	Particulars	Details
1	DIN (if applicable)	07337155
2	Name	Mr. Ravindra Kumar Kundu
3	Designation	Executive Director
4	Telephone number	044 - 4090 7172
5	E-mail id	kundur@chola.murugappa.com

2. Principle-wise (as per NVGs) BR Policy/policies

(a) Details of compliance (Reply in Y/N)

SN.	Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
1	Do you have a policy/policies for all the principles?	Y	Y	Y	Y	Y	Y	Y	Y	Y
2	Has the policy being formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
3	Does the policy conform to any national/international standards?	Y*	Y*	Y*	Y*	Y*	Y*	Y*	Y*	Y*
4	Has the policy being approved by the board? If yes, has it been signed by MD/owner/CEO/ appropriate board director?	Y	Y	Y	Y	Y	Y	Y	Y	Y
5	Does the company have a specified committee of the board /director /official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Y	Y	Y
6	Indicate the link for the policy to be viewed online?	https://www.cholamandalam.com/company-policies.aspx								
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	Y	Y	Y
8	Does the company have in-house structure to implement the policy /policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
9	Does the company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy/policies?	Y	Y	Y	Y	Y	Y	Y	Y	Y
10	Has the company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?#	Y	Y	Y	Y	Y	Y	Y	Y	Y

* National standards

The Company has in place an internal task force which evaluates the working of this policy.

(b) If answer to the question at serial number 1 against any principle, is 'No', please explain why: **Not applicable.**

3. Governance related to BR

- (a) Indicate the frequency with which the board of directors, committee of the board or CEO to assess the BR performance of the company. Within 3 months, 3-6 months, Annually, More than 1 year.

The BR performance is assessed annually. In addition to this, the ESG performance and implementation plans are discussed during Board meetings. The Company understands the need to formalize accountability for ESG related aspects and has set up an internal steering committee who will be primarily responsible for implementation of the ESG policy across the company.

- (b) Does the company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

Yes, the company publishes a BR annually (<https://www.cholamandalam.com/annual-reports.aspx>) and published a sustainability report (<https://www.cholamandalam.com/esg.aspx>) for the financial year 2020-2021.

SECTION E: PRINCIPLE-WISE PERFORMANCE

Principle 1 - To conduct and govern themselves with ethics, transparency and accountability

1. Does the policy relating to ethics, bribery and corruption cover only the company? Yes/No. Does it extend to the group/joint ventures/suppliers/contractors/NGOs/others?

The policy extends to the company, its subsidiaries and its business associates. The company's commitment to ethical and lawful business conduct is a fundamental shared value of the board of directors, the senior management and all employees of the company. The company adopts highest governance standards and its employees adhere to the robust "Code of Conduct and Ethics Policy". The employees are also required to comply with relevant legal, regulatory and internal compliance requirements in letter and spirit.

2. How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.

Particulars	Received	Resolved	Pending
Customer complaints	812	812	0
Shareholder / Debenture holder	1	1	0

Principle 2 - To provide services that are safe and contribute to sustainability throughout their life cycle

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.

The company being an Non-Banking Finance Company though not engaged in a business concerning design of products that could raise social concerns, economic risks and/or hazardous opportunities has designed its financial lending activities to ensure financial inclusion of various marginalized sections of the society, predominantly in geographies with limited presence of organized financiers.

Vehicle Finance business provides loans that contribute to the economic development and social well-being of the borrowers and at the same time support the cause of a greener environment. The lending policies of the company are carefully designed to avoid exposure to areas & segments having social concerns, economic risks and/or hazardous opportunities.

The company emphasises on lending for the purchase of commercial vehicles, tractors, construction equipment, Multi Utility Vehicles, etc, that add value to the economy and other products like cars, two wheelers which enhance the quality of life and augment the social status of the borrower.

Further, to ensure that the company contributes to provide sustainability of benefits to the borrowers throughout the life cycle of the loan and the product, the company is providing loans for vehicle acquisition, vehicle maintenance, protection of asset and life by financing insurance and proving loans for working capital management, refinance on assets for meeting exigencies, household expenses, festival, education, family needs etc.

Chola's SME (SME – Small and Medium Enterprises) business provide loans to micro business owners who may not have banking access to grow their business and thereby enhance their standard of living.

Chola's Loan Against Property business provides loans that contributes to Economic development and social wellbeing of the borrowers and supports green revolution by going digital. Onboarding process is simplified to ensure maximum information is collected and verified digitally. Chola's LAP division offers secured long-term loans to borrowers also within Micro Small and Medium Enterprise (MSME) community, against their residential or commercial properties. Primary focus of this division is on self-employed non-professionals (kirana stores, small scale manufacturing units, Retail shops, etc.) who need financial support to either start new business or expand existing businesses. Chola is one of the key players in loan against property business in NBFC space and plays an important role in development of MSME community, thereby contributing positively to the growing Indian economy. Most of the MSME customers are organized and have not been catered by formal banking system, thus bridging the credit gap faced by them.

The new product lines in Chola - Consumer and Small Enterprise Loan (CSEL) and Secured Business and Personal Loans (SBPL) support borrowers from a social concerns' perspective. CSEL provides personal loans to individuals and underserved MSMEs, who do not have access to organised credit, based on bureau data and alternate data sets. SBPL focusses on lending to smaller ticket size MSMEs with offerings of term loans, equipment finance, working capital finance and supply chain finance. Both product lines operate on PAN India basis.

The company does not extend loans to entities and activities that do not meet certain strict ESG criteria such as child labor, borrowers lacking in appropriate governance or ethical practices amongst others. Credit policies of the company is designed to avoid exposure to areas & segments having ESG concerns, economical risk and/or hazardous opportunities.

Hence, Chola is enabling people to enter a better life through economic upliftment and social growth.

- For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional):

Not applicable. The company's products are structured to focus on social aspects also.

- Does the company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.

The company is in the process of putting in place procedures for sustainable sourcing.

- Has the company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

Yes, the company procures goods and services from local and small producers, including communities surrounding their place of work wherever possible. The organization lays emphasis on local hiring, especially since it operates largely in Tier III, IV, V and VI cities it helps to connect with customers better and also contribute to the employability in the local area.

- Does the company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as 10%). Also, provide details thereof, in about 50 words or so.

E-Waste: Chola strives to make sure that e-waste is recycled through an organization having a valid permit and follows the required protocols laid down by regulatory bodies.

Environmental Conservation: The company has adopted several measures sensitising the employees on environmental conservation including the usage of paper and water. The company is also promoting consciousness amongst employees on adopting environmentally friendlier options at the workplace.

Principle 3 - To promote the well-being of all employees

- Please indicate the total number of employees - **9,125**
- Please indicate the total number of employees hired on temporary/contractual/casual basis - **2,803**
- Please indicate the number of permanent women employees - **269**
- Please indicate the number of permanent employees with disabilities - **23**
- Do you have an employee association that is recognized by management - **No**
- What percentage of your permanent employees is members of this recognized employee association? - **Not applicable.**
- Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

SN.	Category	No. of complaints filed during the financial year	No. of complaints pending as on end of the financial year
1	Child labour/forced labour/involuntary labour	-	-
2	Sexual harassment	-	-
3	Discriminatory employment	-	-

- What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year?

The organization continuously strives towards establishing a safe working culture by imparting various programs. Chola has a dedicated Environment Health and Safety team which is committed to maintaining highest standards of health, safety and wellbeing of employees. The company has also designed processes and practices during the year to ensure interaction with the employees on a periodic basis to check on their safety and also to educate on precautions to be taken. Webinars were conducted on guided meditation practices. On call Doctors are also available 24/7 for support.

Chola as a company requires strong connect with customers and involves regular field visits by employees; therefore "Employee Road Safety Training" is given to all employees. Additionally, around 5700 employees are also trained on Behavior-Based Road Safety Techniques, Monsoon Road Safety, and Winter Road Safety measures to ensure their personal safety. During the year, the company has launched Health and Fitness Campaign to create awareness about health issues and to facilitate employees adapt a healthy lifestyle.

To reach greater heights, improving the productivity and behavioural & process related training were organized during the year covering over 6,100 employees. These covered 266 area offices and 3457 Sales Field Executives (SFE) and Credit Operations Executives (COE). Capability-building efforts towards learning dissemination to last-mile employees were anchored through structured Train The Trainer (TTT), along with Products Teams and functional stakeholders. 400 employees at Branch, Area,

Region, and zonal levels were covered in this initiative. Behavioural and process related training were attended by around 2,300 employees.

Principle 4 - Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.

1. Has the company mapped its internal and external stakeholders? Yes/No.

Yes.

2. Out of the above, has the company identified the disadvantaged, vulnerable & marginalized stakeholders.

Chola's vehicle finance and home loan business offers a highly diversified range of products in diverse rural, semi – urban and urban geographies ensuring financial inclusion of especially those who are disadvantaged, vulnerable and marginalized. Chola believes that affordable and appropriate access to financial services is a key driver of economic growth, poverty alleviation and prosperity. Hence, Chola provides finance for home loans, acquisition of new assets for economic upliftment as well as for working capital/ vehicle maintenance, and financing insurance to protect their assets and life.

The Company has set up 80% of its branches in Tier-III, Tier-IV, Tier V and Tier-VI towns ensuring financial inclusion of vulnerable sections of the society who are also first time buyers and first time users.

3. Are there any special initiatives taken by the company to engage with the disadvantaged, vulnerable and marginalized stakeholders. If so, provide details thereof, in about 50 words or so.

The company initiatives on improving accessibility to finance are covered in point 2 above. Further to this, Chola also has a Corporate Social Responsibility Committee in place which works on strategies to include expectations of different stakeholders including customers & communities who are at the bottom of the social pyramid. The company initiates various projects through their CSR initiatives for the upliftment of the stakeholders. The major focus areas of CSR at Chola include:

- Healthcare
- Holistic development of commercial vehicle crew members
- Access to education & rural sports.
- WASH (Water, Sanitation and Hygiene)
- Environmental sustainability
- Rural development
- Promoting arts, culture and heritage

Principle 5 - Businesses should respect and promote human rights

1. Does the policy of the company on human rights cover only the company or extend to the group/joint ventures/suppliers/ contractors/ NGOs/others?

The policy on human rights covers the company, customers and its associates. Human rights are a matter of great importance at Chola. The Company appreciates that human rights are inherent, universal, indivisible and interdependent in nature. Care is taken to integrate respect for human rights in the management systems, wherever applicable, in particular through assessing and managing human rights impacts of operations. Access to grievance redressal mechanisms set up for all individuals impacted by the business is provided. The company recognizes and respects the human rights of all relevant stakeholders and groups within and beyond the workplace, including that of communities, consumers and vulnerable and marginalized groups and the business units within their sphere of influence, endeavour to promote the awareness and realization of human rights across their value chain and will not complicit with human rights abuses by a third party.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

The company received 812 customer complaints during the financial year. 100% customer complaints were resolved by the management as on 31 March, 2022. An MIS on customer complaints is circulated to the customer grievance redressal committee ("the committee").

The committee under the chairmanship of Executive Director reviews the customer complaints on a quarterly basis.

Principle 6 - Business should respect, protect, and make efforts to restore the environment

1. Does the policy related to Principle 6 cover only the company or extends to the Group/Joint Ventures/Suppliers/Contractors/ NGOs/ others.

The ESG policy is applicable to the company. The company has taken steps in identifying material partners for Chola in its ESG journey. Details can be accessed from the Sustainability report published by the company on its website. (<https://www.cholamandalam.com/esg.aspx>)

2. Does the company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc? Y/N. If yes, please give hyperlink for web page etc.

Yes. Chola's efforts are on sustainable financing with a target to support the cause of a greener environment through initiating electric vehicle financing and attempting to increase loan disbursements to electrical vehicles. (<https://www.cholamandalam.com/esg.aspx>)

3. Does the company identify and assess potential environmental risks? Y/N.

Not applicable.

4. Does the company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if Yes, whether any environmental compliance report is filed?

No.

5. Has the company undertaken any other initiatives on - clean technology, energy efficiency, renewable energy, etc. Y/N. If yes, please give hyperlink for web page etc.:

Yes, in considering long-run planning, reduction of risk, and conservation of resources in administrative planning, sustainability has a significant contributory role. The company is progressing towards:

- **Achieving green building status for its own premises under construction**
- **Adopting energy efficient solutions for office lighting across all locations**
- **Reduced water consumption across all locations through efficient water solutions**

6. Are the Emissions/Waste generated by the company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Not applicable.

7. Number of show cause/ legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of FY.

Nil.

Principle 7 - Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

1. Is your company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:

- **Confederation of Indian Industry**
- **Finance Industry Development Council**
- **Finance Companies' Association (India)**
- **South India Hire Purchase Association**

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others)

Yes. Representations had been submitted to the Government and regulatory authorities on various matters for the improvement of public good on areas relating to governance and administration, economic reforms, inclusive development policies and sustainable business principles.

Principle 8 - Businesses should support inclusive growth and equitable development

1. Does the company have specified programmes/initiatives/projects in pursuit of the policy related to Principle 8? If yes details thereof.

Yes, please refer CSR Report.

2. Are the programmes/projects undertaken through in-house team/own foundation/external NGO/government structures/any other organization?

Please refer CSR Report.

3. Have you done any impact assessment of your initiative?

We have done impact assessment study for the Health, Environment, Rural Development, Arts & Culture and WASH projects.

4. What is your company's direct contribution to community development projects - Amount in INR and the details of the projects undertaken?

Please refer CSR Report.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

Yes, the company works with villages in Odisha and Telangana and has extended community interventions such as building toilets, providing purified drinking water facilities for villages and schools. Chola installed Ultra filtration water plants in 22 villages of Telangana. While doing so, Chola has a process in place to follow up these initiatives to retain its focus on environmental issues and has strongly encourages communities to participate wherever possible to keep it self-sustainable.

Principle 9 - Businesses should engage with and provide value to their customers and consumers in a responsible manner

1. What percentage of customer complaints/consumer cases are pending as on the end of the financial year.

There were no customer complaints pending at the end of the financial year.

2. Does the company display product information on the product label, over and above what is mandated as per local laws? Yes/No/ N.A./Remarks (additional information)

Not Applicable.

3. Is there any case filed by any stakeholder against the company regarding unfair trade practices, irresponsible advertising and/ or anti-competitive behaviour during the last five years and pending as at the end of the financial year. If so, provide details thereof, in about 50 words or so.

No.

4. Did your company carry out any consumer survey/consumer satisfaction trends?

Customer satisfaction trend (CSAT) is monitored basis inflow and query to complaint percentages. Further, we also monitor the transactional CSAT for customer calls that land on the inbound toll free number basis a SMS that goes out at the conclusion of the call asking for satisfaction levels. At present, our transactional CSAT stands at 94%.